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THE JOURNEY TOWARDS FINANCIAL FREEDOM

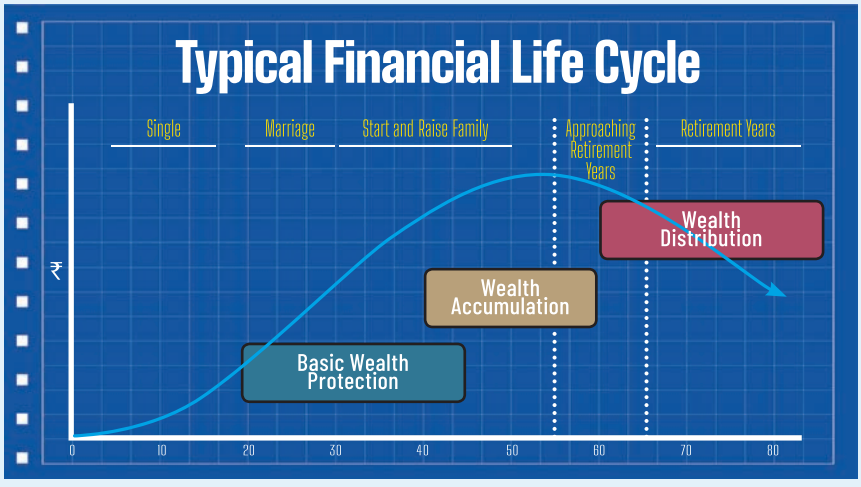
A FUND AT EVERY STAGE OF LIFE

There is a lot of choice and flexibility in the universe of mutual funds that make them suitable for every financial need and stage in life

Everyone evolves with time. For instance, as a teenager, you could have managed to eat three large meals a day and still feel hungry to snack between them because of a very active life. The same would not be possible later in your 40s and 50s when you may have less opportunity to be physically active to burn up the calories. Our approach towards investing and money should not be different; we should view our investments differently when we are young, as compared to a stage in life when we have more responsibilities, with a spouse and children.

In life, we adapt to changing circumstances and phases and it should be the same with our investments. Mutual funds universe has several types of funds which have unique investment objective and associated investment risk;

You could also consider stages in life to start with accumulation phase, transition phase and a distribution phase when your accumulated wealth becomes an income stream.



each fund has a different suitability grade to match varied investor needs based on their life phase and goals. A person starts his financial journey as soon as they are employed and start earning an income. This leads to facing financial responsibilities, managing their finances and planning for financial goals.

Each of these life stages has a different financial situation. For instance, when one is young and has just commenced their career, financial responsibilities are less and so is the availability of spare money to invest. There is also the temptation to spend money, which could otherwise be invested say in equities to help grow and benefit from its ability to provide better inflation-adjusted returns in the long-term. Contrast this to someone in their mid 50s, who is approaching retirement – chances are that they would be more concerned about reducing volatility in their investments. Instead of a higher equity exposure, they will be keen to look for more stable returns.

Fund selection

One way to select a fund is to base the choice of funds according to the investment time frame of your goal. This is where the short, medium and long-term bucket of investing comes into play. The three bucket strategy makes investing look simple, but